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Unemployment

Principles: Chapter 28

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Identifying Unemployment

- Employed
  - People who work
- Unemployed
  - Not employed
    - Want to work
    - Looking for a job
- Not in the labor force
  - Not employed
  - Not unemployed

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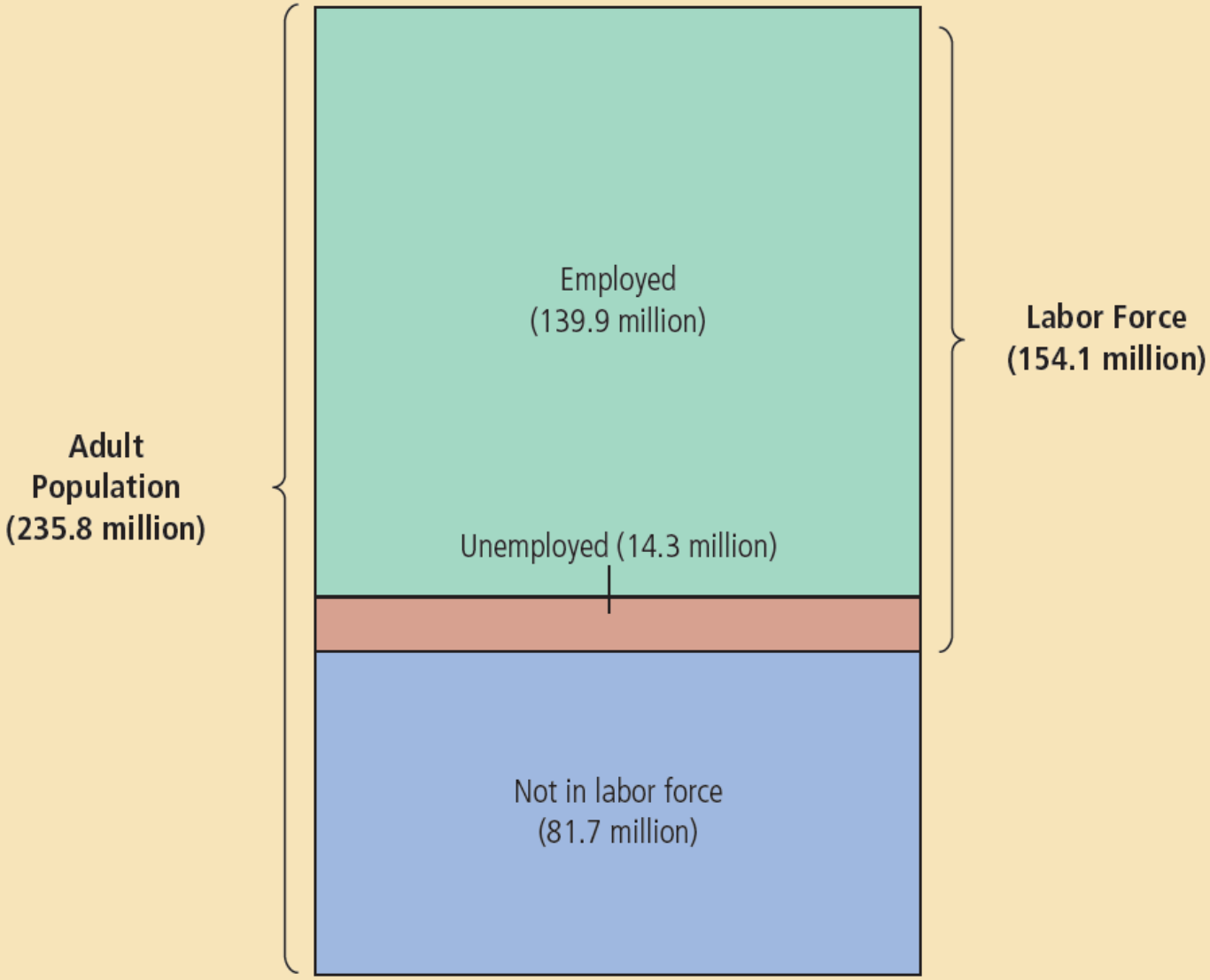
Figure 1

The Breakdown of the Population in 2009



The Bureau of Labor Statistics divides the adult population into three categories: employed, unemployed, and not in the labor force.

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Identifying Unemployment

- Labor force
  - Total number of workers, employed and unemployed

  = Number of employed + Number of unemployed
- Unemployment rate
  - % of labor force that is unemployed

$$\text{Unemployment rate} = \frac{\text{Number of unemployed}}{\text{Labor force}} \times 100$$

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Identifying Unemployment

- Labor-force participation rate
  - Percentage of the total adult population that is in the labor force
  - Fraction of the population that has chosen to participate in the labor market

$$\text{Labor-force participation rate} = \frac{\text{Labor force}}{\text{Adult population}} \times 100$$

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CASE STUDY

Labor-force participation of men and women in the U.S. economy

- Participation rates in 1950
  - Women: 33% working or looking for work
  - Men: 87% working or looking for work
- Participation rates in 2009
  - Women: 59% working or looking for work
  - Men: 72% working or looking for work

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CASE STUDY

Labor-force participation of men and women in the U.S. economy

- Women's rising participation rate
  - Changed dramatically over the past century
  - New technologies
    - Reduced the amount of time required to complete routine household tasks
  - Improved birth control
    - Reduced the number of children born to the typical family
  - Changing political and social attitudes

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Identifying Unemployment

- Hard to separate unemployed vs not in labor force
- Some of those who are out of labor force
  - May want to work
    - Discouraged workers
- Discouraged workers
  - Individuals who would like to work
  - Have given up looking for a job

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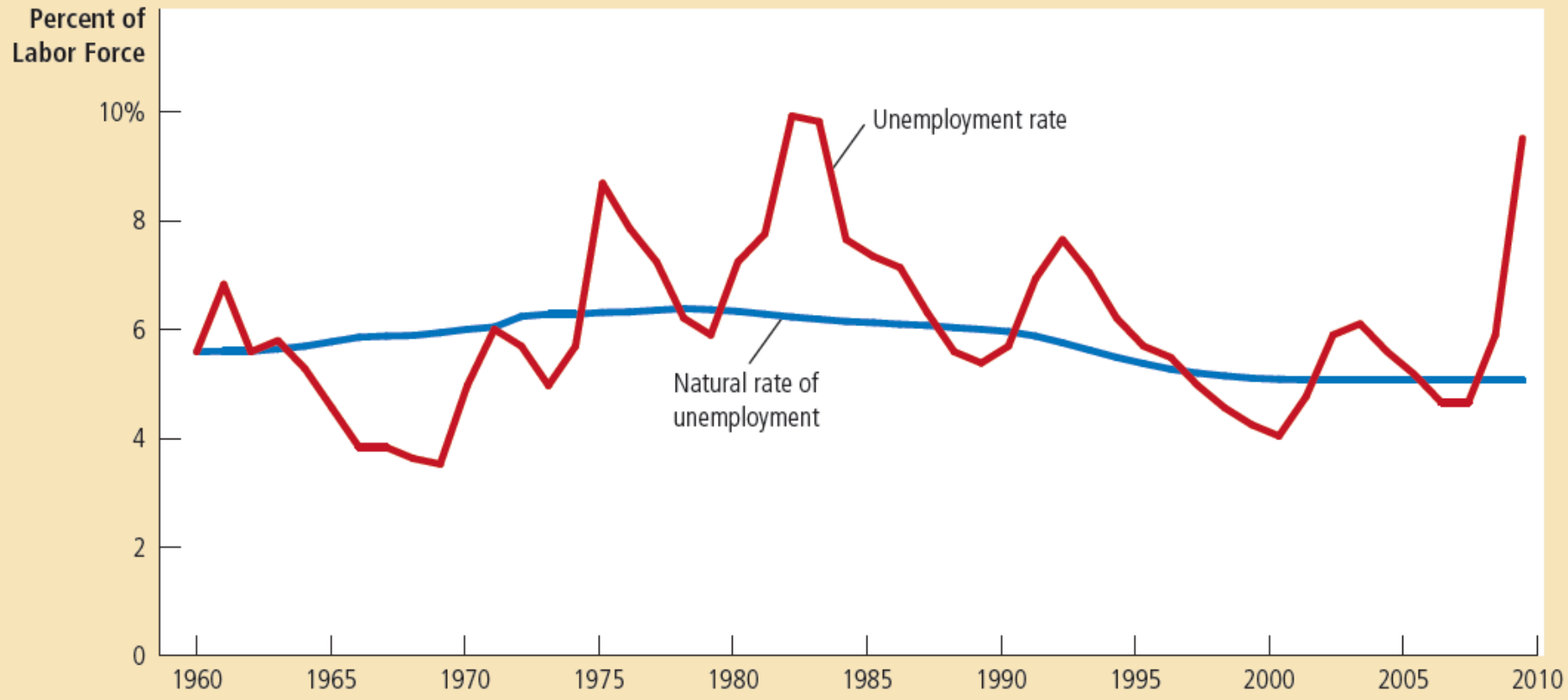
Figure 2

Unemployment Rate since 1960



This graph uses annual data on the U.S. unemployment rate to show the percentage of the labor force without a job. The natural rate of unemployment is the normal level of unemployment around which the unemployment rate fluctuates.

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Identifying Unemployment

- Natural rate of unemployment (full employment)
  - Around which the unemployment rate fluctuates
  - Include unemployment types (frictional & structural) other than cyclical
- Cyclical unemployment
  - Deviation of unemployment from its natural rate

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Long & Short term Unemployment

- Most spells of unemployment are of short term but most unemployment *observed at any given time* is long term.
- e.g.: each week survey, 3 remain unemployed, 1 keeps changing every week
- So out of 52 weeks, 55 people total, 52 find employment in a week, 3 are long term
- 75% long term any given time

Identifying Unemployment

- Unemployment rate
  - Never falls to zero
  - Always some (natural) unemployment: why?
- Frictional unemployment
  - It takes time for workers to search for the jobs that best suit their tastes and skills
  - Explain relatively short spells of unemployment
  - Inevitable in free market economy
  - *Unemployment Insurance*

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Identifying Unemployment

- Structural unemployment
  - Results when wages are set above the equilibrium
    - Minimum-wage laws
    - Unions
    - Efficiency wages.
  - Explains longer spells of unemployment

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